Northwind Instruments Corporation

Annual Report on Form 10-K for the fiscal year 2031

Item 1. Business

Northwind Instruments designs and sells pressure sensors, flow meters and control software for water utilities and chemical plants in eleven countries.

We sell through a direct sales force of 140 engineers and through regional distributors. Our largest customer accounted for 9% of revenue.

Item 1A. Risk Factors

Our results depend on capital spending by water utilities, which can be delayed when municipal budgets tighten. A delay of large projects could reduce our revenue materially.

We buy specialised semiconductors from two suppliers. A shortage or a price increase could interrupt production and harm our margins.

About 40% of our sales are in currencies other than the dollar, so a stronger dollar could reduce our reported revenue and earnings.

A cyber attack on our control software could expose customers to outages and expose us to liability claims and lost business.

Item 2. Properties

We own a factory of 210,000 square feet in Ashford and lease two assembly sites and five sales offices.

Item 3. Legal Proceedings

A former distributor filed a claim in 2031 alleging breach of contract and seeking damages of 6 million. We believe the claim is without merit and intend to defend it.

Item 7. Management's Discussion and Analysis

Revenue grew 8% to 912 million, led by flow meters. Gross margin fell one point to 44% as component prices rose.

Operating cash flow was 131 million. We repaid 40 million of term debt and repurchased shares for 25 million.